CEIBS

CB0069

REV: September 18, 2020

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Alibaba vs. JD.com: Strategies, Business Models, and Financial Statements

After more than ten years of development, two giants—Alibaba, the world's largest online marketplace operator, and JD.com (JD), China's largest online direct sales operator—towered over China's e-commerce industry. In 2014, Alibaba and JD were listed successively, and in the first half of 2015, they disclosed their first annual reports after listing (see **Exhibit 1**). The annual reports and overwhelming media coverage attracted the attention of Zhang Wei, an institutional account manager who had just graduated from a reputable EMBA program. Anticipating questions from his clients, he decided to study these two e-commerce companies. After gathering the relevant materials, he began to read over the reports, hoping to find some investment highlights.

JD and Alibaba's Listings

On January 30, 2014, JD took the lead to file to list in the United States. On May 22 of the same year, the company debuted on the Nasdaq under the symbol "JD." It sold 93.7 million American depositary shares at US$19 per share, above the expected US$16 to US$18 range. JD's shares opened at US$19 and hit a high of US$22.8 in the early morning before eventually closing at US$20.9, an increase of 10 percent on its market debut. JD raised US$1.78 billion through its initial public offering (IPO), the largest US listing by a Chinese company to date.[1]

On March 16, 2014, just after JD filed its IPO application, Alibaba also announced its listing plan. On September 19 of the same year, Alibaba listed on the New York Stock Exchange under the symbol "BABA." The company released 368 million American depositary shares at US$68 a piece, at the high end of its proposed range. Alibaba's shares opened at US$92.7 shortly before noon eastern time and quickly rose to a high of US$99.7, before paring gains to close at US$93.89, an increase of 38 percent on its market debut. [2]Alibaba raised US$21.8 billion from its public offering, making it the largest U.S. IPO of all time.[3]

Even though JD is China's first major e-commerce company listing in the U.S. capital market, Alibaba's listing is more eye-catching. Alibaba and JD are giants in China's e-commerce industry with different business models—one is the largest third-party platform, while another is the largest

Professor Shimin Chen, Teaching Assistant Dingwen Pan and Case Writer Dr. Xiayan Huang of China Europe International Business School prepared this case. Funding for the development of this case was provided by China Europe International Business School. CEIBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

direct online retailer; one enjoyes the most online traffic, while another has a strong fulfillment infrastructure. Both companies have strengths and weaknesses, growing with many opportunities while also facing various risks.[4]

China's Retail Industry

The Gross Merchandise Volume (GMV) of China's online retail market increased from ¥784.5 billion[①] in 2011 to ¥2.8 trillion in 2014, with a compound annual growth rate of 52.6%. With the rapid growth of GMV in the online retail market, its share of the total China's retail market had gradually increased from 4.3% in 2011 to 10.6% in 2014 (see **Exhibit 2**). In 2014, China's online shopping market entered a boom phase. The penetration rate of online shopping among netizens was as high as 55.7%. At the same time, the scale of online shopping through mobile commerce apps had also increased substantially. Among about 360 million online shoppers, mobile shopping users totaled 236 million, accounting for 65.6%.[5]

With the booming e-commerce economy, many excellent e-commerce websites had emerged in China. The technological improvement in online payment and logistics made it possible that e-commerce companies could make constant breakthroughs in technology and business model innovation, subverting traditional business practices.

Alibaba: Just an E-Commerce Operator?

"Broker" in the Business

Alibaba was founded in 1999 with a mission to make it easy to do business anywhere. It aimed to empower individuals and companies to change their approaches to marketing, selling, and operating, and to improve their efficiency. Therefore, Alibaba provided fundamental technology infrastructure and marketing reach to help businesses establish their online presence and conduct commerce with customers. As of fiscal year ended March 31, 2015[②], Alibaba's core e-commerce businesses included Taobao, Tmall, and Juhuasuan. In addition to these three major domestic retail marketplaces, Alibaba also operated Alibaba.com, a global online wholesale marketplace, 1688.com, a China-wide wholesale marketplace, and AliExpress, a global retail marketplace (see **Exhibit 3**).

Retail Platforms

In 2003, Alibaba launched Taobao, a customer-to-customer (C2C) platform. Through online storefronts on Taobao, sellers could list their products and services and complete transactions with buyers. As sellers on Taobao were primarily individuals and small companies, Taobao empowered them to serve their customers. Sellers were provided with data analytics for effectively converting shoppers to buyers, and were also given tools and enablers for better communication and storefront management. In the interests of buyers, sellers were required to comply with Taobao's return and

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① ¥ = CNY = Chinese yuan renminbi; ¥1 = approximately US$0.1587, US$0.1540, US$0.1591, US$0.1640, US$0.1634, by the end of 2011, 2012, 2013, 2014 and 2015, respectively.

② At Alibaba, an accounting year is a 12-month period that begins in April this year and ends on March next year. Alibaba names its fiscal year after the next year—for example, "FY2015" refers to the period from April 1, 2014, to March 31, 2015. At JD, the accounting year is the same as the calendar year.

exchange policy; buyers could seek compensation through a dispute resolution system in the case of disputes with sellers.

As a "broker" in the business, Alibaba was not involved in any trading process, but rather generated revenue mainly from sellers who purchased marketing services to direct traffic. In 2008, Taobao and Alimama merged. Alimama was an online marketing platform that offered sellers P4P (pay-for-performance) marketing and display marketing services through its auction and bidding system.

During the development of Taobao, many problems occurred concerning product quality control, intellectual property protection, and customer experience. In 2008, Alibaba launched at an opportune time Taobao Mall (later named Tmall), which served as a comprehensive business-to-customer (B2C) shopping website, catering to customers looking for branded products and a premium shopping experience. Different from Taobao, Tmall used a charging system. Sellers on Tmall were brands and retailers, who needed to pay commissions based on GMV (see **Exhibit 4**). Revenue was also generated from annual upfront service fees.

In 2010, Alibaba launched Juhuasuan, an online group-buying platform. Sellers on Taobao and Tmall could promote their products on Juhuasuan by paying placement fees for promotion slots and commissions based on GMV.

In addition to these domestic businesses, Alibaba also founded AliExpress in 2010. This global consumer marketplace enabled consumers worldwide can buy directly from wholesalers and manufacturers in China at attractive prices. The revenue was mainly from collecting fixed commissions and advertising promotion fees from sellers.

Wholesale Platforms

Alibaba.com and 1688.com, Alibaba's two major business-to-business (B2B) platforms, earned revenue mainly by collecting membership fees and providing Internet marketing services (see **Exhibit 4**). As Alibaba's first online commerce platform, Alibaba.com was a B2B platform focused on the global wholesale market. Chinese products on the website could be exported to the world. 1688.com offered a membership package for sellers in China's wholesale market.

Supporting Services Behind E-Commerce

In addition to these e-commerce platforms, Alibaba also established several systems such as payment service (Alipay), data service (Alibaba Cloud), and logistics service (Cainiao Network), to provide support for every facet of online trading (see **Exhibit 3**).

Financial Payment: Alipay

With the rapid development of Taobao, credit risk and security issues in online shopping payments had become increasingly prominent. Accordingly, Alibaba built up a new payment method called Alipay in October 2003. Alipay provided payment and escrow services for transactions. When a transaction began, funds from the buyer went to Alipay's escrow account, and Alipay released the funds from escrow to the seller only after the buyer confirmed receipt of the goods in satisfactory condition. Escrow service reduced the concerns of online shoppers and made shopping convenient and efficient to a large extent.

As an essential part of Alibaba's business ecosystem, as of fiscal year 2015, Alipay had become the main settlement method between buyers and sellers on Taobao and Tmall. However, Alibaba did not own any shares of Alipay. In July 2011, Alibaba and Alipay signed a framework agreement in which Alipay had to pay Alibaba 49.9% of pre-tax profits each year for intellectual property licensing and software service fees. In August 2014, Alibaba reached a new agreement with Small and Micro Financial Services Group,[①] which paid 37.5% of pre-tax profits to Alibaba every year.

Cloud Computing: Alibaba Cloud

Due to the large volume of traffic and data generated on its online marketplaces, Alibaba had to spend millions of dollars each year to buy commercial equipment from IBM, Oracle, and EMC. However, such IT equipment was expensive and could not fully meet Alibaba's technical needs. In September 2008, Alibaba devised its cloud computing and data strategies and decided to develop Apsara, a large-scale distributed computing operating system, in order to create a data management platform. In September 2009, Alibaba Cloud Computing Co., Ltd. ("Alibaba Cloud") was formally established.

As of fiscal year 2015, a massive amount of data from Alibaba's platforms, its affiliated companies, and Alipay had run and been stored on Alibaba Cloud. In July 2011, Alibaba Cloud began to open its cloud computing services and become a data infrastructure provider. As of fiscal year 2015, Alibaba Cloud had provided cloud-computing services to over 1.8 million customers, including enterprises, financial services, and government clients. On MaxCompute, the big data computing platform released by Alibaba Cloud, companies or institutions could conduct massive data analysis with payment of only a few hundred yuan.

Logistics Support: Cainiao Logistics

Alibaba's logistics shortage had become increasingly apparent during its expansion. As such, the Alibaba-led logistics project "China Smart Logistics Network" was officially launched in Shenzhen. Alibaba, along with Yintai Group, Fosun, Forchn Holdings, SF Express, STO Express, YTO Express, ZTO Express, and Yunda Express, established a new company named Cainiao Network Technology Co. Ltd. (Cainiao Logistics).

Alibaba not only offered logistics but also launched a third-party logistics service system to create supply chain plans based on big data. Cainiao Logistics and third-party logistics providers reached a series of agreements on data sharing, transportation regulations, prices, and specific commodity logistics services, in order to build up a logistics platform. The platform provided real-time access to information and data for sellers, buyers, and logistics service providers. Moreover, Cainiao Logistics also offered additional services, including demand forecasting, inventory planning, plan-driven logistics, terminal distribution, customer service, and supply chain visualization. According to Alibaba's plan, Cainiao Logistics would become a transit center and settlement center based on big data.

[①] Small and Micro Financial Services Group was established in March 2013. Besides Alipay, it included assets such as Zhao Cai Bao and ZhongAn Online.

Business Ecosystem and M&A

To maintain its market share and enhance profitability, Alibaba had to continuously optimize and expand the scale of its e-commerce platform and related services, and obtain access to more traffic sources in the meantime.

Searching was a vital traffic source in the age of personal computing. As early as 2005, Alibaba acquired all the assets of Yahoo! Inc.① (Yahoo), a well-known Internet website, and had the exclusive right to use the Yahoo brand in China. In return, Yahoo obtained 40% of Alibaba's economic benefits and 35% of voting rights. In 2012, Alibaba repurchased 20% of its shares held by Yahoo with US$6.3 billion in cash and US$800 million in preference shares in Alibaba. At the same time, Alibaba Group paid a lump sum of US$550 million in cash for Yahoo's technology and intellectual property licensing fees. Based on an agreement between the two, Alibaba retained the privilege to buy back half of Yahoo's remaining stock when it went public.[6]

With the popularity of mobile phones, the era of mobile e-commerce dawned. On mobile devices, traditional industries affecting daily life interacted with e-commerce. To create a diverse cross-industry chain and improve the business ecosystem, Alibaba sped up mergers and acquisitions in many industries, including online-to-offline (O2O) businesses, digital media, finance, logistics, culture, entertainment, and health.

Since 2010, Alibaba had accelerated the speed of investment in social applications, search engines, and location services in order to lock in more sources of traffic. To obtain more potential customers, Alibaba successively invested in a 100% share in UCWeb (China's largest mobile browser provider) and a 30% share in Weibo. In April 2013, the acquisition of AutoNavi was completed, making GPS the cornerstone of its marketing business. In October 2013, the social application Laiwang was launched. In addition, Alibaba released Alibaba YunOS to connect Alibaba Cloud services directly with mobile phone users.[7]

The boom in mobile-driven consumption opened up a sizeable O2O market. Taobao created a network around local life services, covering shopping, travel, catering, and entertainment, and formed a closed circuit of transactions through Alipay. Focusing on the "Double H" strategy,② Alibaba acquired 38.1% of shares in CITIC 21CN (later known as Alibaba Health) in order to compete in the health industry. Also, Alibaba acquired Xiami Music and Tiantiandongting, Cultural China (later known as Alibaba Pictures), and invested in Youku Tudou. Meanwhile, Alibaba bought UC Jiuyou to set up a platform for on-line games, and invested in Wasu to enter the Internet set-top box market.

JD: A Rising Star

Unlike Alibaba's business model, which resembled that of eBay, JD was more like Amazon, with inventory in warehouses and delivery services under its direct control.

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① Sources of repurchase funds included Alibaba Group's own cash reserves, bank borrowings, convertible preference shares, and common shares. The China Development Bank provided a bank loan of US$1 billion for this transaction; eight international banks for this purpose also provided a combined US$1 billion in bank loans. In November 2014, Alibaba issued senior unsecured bonds to replace mature bank borrowings.

② "Double H" means "happiness" and "health." The former refers to the entertainment industry and the latter refers to the health industry.

Largest Online Direct Sales Business

JD's primary business was online direct sales, which was different from Taobao. In the supply chain, JD was situated in the middle of suppliers and customers. On the one hand, it provided customers with products and a satisfying online shopping experience, and on the other hand, it offered suppliers a display platform and sales channels.According to the annual report released in the first half of 2015, JD was the largest online direct sales company in China in terms of transaction volume, with a market share in China of 49%. GMV from its online direct sales was ¥159.3 billion (US$25.6 billion) in fiscal year 2014 (for fiscal year ended December 31, 2014).

JD started selling computer products online in 2004 and significantly expanded its product offerings in 2008 with home appliances and a wide array of general merchandise product categories, such as home furniture, household goods, luxury goods, sports equipment, and mother and childcare products. In 2014, 15 product categories were provided, and the percentage of revenue from 3C (computer, communication, and consumer electronics) products decreased from 65.3% in 2012 to 54.1%. As 3C products were price-sensitive, JD's changing strategy of product category expansion not only exerted a positive influence on its gross margin but also enlarged its customer base from being heavily male-dominated to including a substantial number of females.

The slogan of JD was "selection, speed, quality, and value," and it emphasized customer experience and satisfaction. Product selection, competitive pricing, and customer service were crucial aspects for JD to achieve its strategy. For example, JD selected and negotiated with suppliers to guarantee authentic products and obtain the most favorable terms. JD offered discounted products on June 18 and November 11— promotional shopping days in China— in order to gain pricing advantages. Meanwhile, JD had a nationwide fulfillment infrastructure to deliver products on time, which was critical to the customer in online shopping.

The "Sugarcane Theory" and JD Logistics

In 2014, Qiangdong (Richard) Liu, Founder of JD, proposed a "sugarcane" theory to explain the "ten sugarcane sections" of the customer goods industry. That is, the value chains of the retail and customer goods industry covered ten links, including creativity, design, R&D, manufacturing, pricing, marketing, trading, warehousing, delivery, and after-sales service. Among them, the first five links related to brands, and the latter five to retailers.[8]

As a retailer, JD aimed to invest more in the last five sugarcane sections. It would not only serve as an online retailer, but would also expand to other fields like warehousing, delivery, after-sales services, and marketing. Its investment in fulfillment infrastructure aimed to "eat more sugarcane sections," which would support JD with long-term competitiveness.

As of December 31, 2014, JD had established fulfillment centers in seven major cities in China, and operated 123 warehouses in 40 cities and 3,210 delivery stations and pickup stations in 1,862 counties and districts across China, and had 35,282 delivery personnel, 12,580 warehouse staff, and 7,758 customer service personnel. Leveraging the nationwide fulfillment infrastructure, JD delivered a majority of the orders directly to customers itself—over 80% on the day of the order or the day after. JD provided same-day delivery in 134 counties and districts under the "211" program and offered next-day delivery in another 866 counties and districts across China.

However, the increasing expenses related to infrastructure hurt JD's profitability. Fulfillment expenses kept rising from 2010 and reached ¥4.1 billion in fiscal year 2014, accounting for 7% of total revenue. Meanwhile, logistics-related depreciation and amortization expenses were approximately

¥186 million and ¥293 million in fiscal years 2012 and 2013, respectively, but skyrocketed to over ¥1.65 billion in fiscal year 2014.

Online Marketplace

In October 2010, JD launched an online marketplace to attract third-party sellers. Different from online direct sales, the revenue of the online marketplace mainly included two parts. One was sales commissions, and the other was service fees from providing third-party sellers with value-added services such as delivery and warehousing. JD selected third-party sellers based on brand, reliability, volume, and price, and monitored their performance and activities closely to ensure product quality and customer service. The online marketplace business leveraged JD's brand recognition, customer base, transaction data, and fulfillment infrastructure, and greatly expanded its product offerings.

The past few years had witnessed the high-speed growth of JD's online marketplace. As of December 31, 2014, there were over 60,000 third-party sellers on JD's online marketplace, with GMV reaching ¥100.9 billion, an increase of 217% over the previous year. Although JD's revenue outside of online direct sales reached ¥6.5 billion in 2014, it only accounted for 5.61% of its total revenue. With the fast-growing marketplace, however, JD also faced challenges in areas like traffic resource allocation, system construction, seller selection, quality control, and service quality assurance. At the same time, it also competed with JD's online direct sales business. How to coordinate its products and third-party offerings was an issue needing urgent resolution.

Strategic Cooperation Agreement with Tencent

On March 10, 2014, JD signed a five-year strategic cooperation agreement and an eight-year non-compete agreement with Tencent, China's largest Internet social enterprise. With the agreement, Tencent acquired 15% of JD's shares and agreed to purchase an additional 5% at the time of JD's IPO. As a payment, JD received US$240 million in cash and a 100% interest in Tencent's Paipai, QQ Wanggou online marketplace, and certain other assets such as logistics. As a result, JD's valuation jumped from US$8.03 billion to US$15.7 billion in merely three months.

After integrating Tencent's B2C QQ and C2C Paipai platforms into the company, JD relaunched Paipai in July 2014. To compete with Alibaba's Taobao directly, JD tapped into the C2C market and provided customers with more long-tail products.

As part of the strategic partnership, Tencent agreed to offer JD prominent direct access points in its mobile applications Weixin and Mobile QQ and to provide Internet traffic and support from other key platforms. Tencent users could directly access JD after one click on the home interface of Tencent's mobile applications. According to Tencent, Weixin had 500 million active users monthly. With support from Weixin, JD's active users increased from 56 million in 2014 fourth-quarter to 98 million in 2015 fourth-quarter. In addition, JD and Tencent agreed to cooperate in several areas, including mobile-related products, social networking services, membership systems, and payment solutions. For example, JD customers had direct access to Weixin payment.

Holding the annual reports and scanning the massive media coverage of Alibaba and JD, Zhang Wei was lost in deep thought: What were the differences between these two companies' strategies and business models, and how did these differences affect the financial statements? He knew that many of his clients would be interested in the e-commerce industry, but how would he advise them to choose between the two e-commerce giants? Before making up his mind, he referred to the two companies' financial statements to organize his analysis systematically.

Exhibit 1: Simplified Financial Statements of Alibaba and JD

Exhibit 1.1: Simplified Income Statements

	Alibaba (Year ended March 31, 2015)		JD (Year ended December 31, 2014)	
	¥ million	% of revenue	¥ million	% of revenue
Revenue	**76,204**	**100.00**	**115,002**	**100.00**
Retail	61,500	80.70	-	-
Wholesale	7,923	10.40	-	-
Cloud computing and Internet infrastructure	1,271	1.67	-	-
Others*	5,510	7.23	-	-
Online direct sales	-	-	108,549	94.39
Service and others	-	-	6,453	5.61
Operating expenses	**53,069**	**69.64**	**120,805**	**105.05**
Cost of revenue	23,834	31.28	101,631	88.37
Fulfillment expenses	-	-	8,067	7.01
Product development expenses	10,658	13.99	1,836	1.60
Marketing expenses	8,513	11.17	4,010	3.49
General and administrative expenses	7,800	10.24	5,260	4.57
Income from operations	**23,135**	**30.36**	**−5,802**	**−5.05**
Net income	**24,320**	**31.91**	**−4,996**	**−4.34**

Note: Other revenue mainly represents interest income generated from micro loans, revenue from online marketing and other services provided by UCWeb and AutoNavi, and SME annual fees received from Ant Financial Services.

Source: Collected by the case authors based on Alibaba's financial statements for fiscal year 2015 and JD's financial statements for fiscal year 2014.

Exhibit 1.2: Simplified Balance Sheets

	Alibaba (As of March 31, 2015)		JD (As of December 31, 2014)	
	¥ million	% of assets	¥ million	% of assets
Cash and cash equivalents	108,193	42.36	16,915	25.44
Inventories	-	-	12,191	18.33
Total current assets	**142,109**	**55.63**	**49,942**	**75.11**
Investment in equity investees	33,877	13.26	587	0.88
Property, equipment, and software	9,139	3.58	2,408	3.62
Construction in progress	-	-	1,929	2.90
Goodwill	41,933	16.42	2,622	3.94
Total non-current assets	**113,325**	**44.37**	**16,551**	**24.89**
Total assets	**255,434**	**100.00**	**66,493**	**100.00**
Accounts payable	-	-	16,364	24.61
Other current liabilities	34,314	13.43	10,505	15.80
Total current liabilities	**39,672**	**15.53**	**28,995**	**43.61**
Non-current bank loans	1,609	0.63	-	-
Unsecured senior notes	48,994	19.18	-	-
Total non-current liabilities	**57,691**	**22.59**	-	-
Total liabilities	**97,363**	**38.12**	**28,995**	**43.61**
Additional paid-in capital	117,142	45.86	47,131	70.88
Retained earnings	24,842	9.73	–9,272	–13.94
Total shareholders' equity	**158,071**	**61.88**	**37,498**	**56.39**

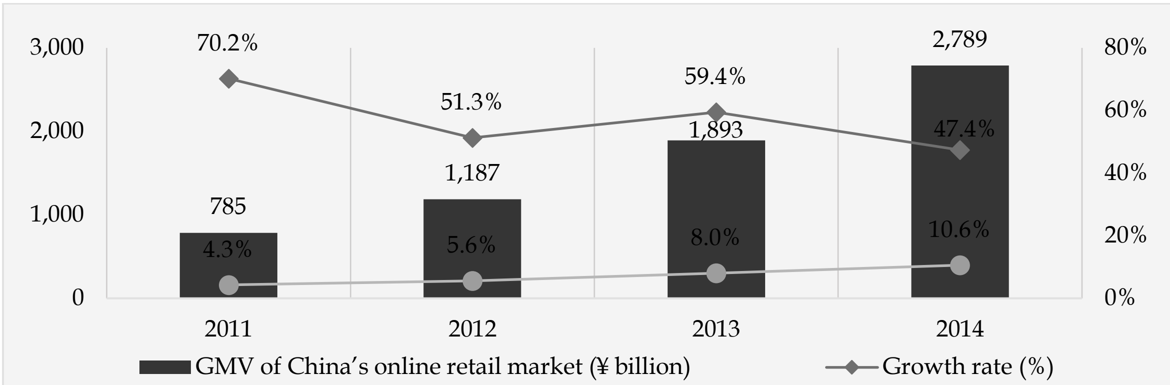
Source: Collected by the case authors based on Alibaba's financial statements for fiscal year 2015 and JD's financial statements for fiscal year 2014.

Exhibit 1.3: Simplified Statements of Cash Flows

	Alibaba (Year ended March 31, 2015)			JD (Year ended December 31, 2014)		
	¥ million	% of assets	% of revenue	¥ million	% of assets	% of revenue
Net cash provided by operating activities	41,217	16.14	54.09	1,015	1.53	0.88
Net cash used in investing activities	–53,454	–20.93	–70.15	–13,203	–19.86	–11.48
Net cash provided by financing activities	87,497	34.25	114.82	18,392	27.66	15.99

Source: Collected by the case authors based on Alibaba's financial statements for fiscal year 2015 and JD's financial statements for fiscal year 2014.

Exhibit 2: GMV of China's Online Retail Market from 2011 to 2014



Source: Created by the case authors based on data from iResearch.

Exhibit 3: Major Components of Alibaba's Business Ecosystem

E-Commerce Platform: Retail	E-Commerce Platform: Wholesale	Support Behind the Platform	Business Ecosystem	
Taobao	Alibaba.com	Alipay	UCWeb	Alibaba Health
Tmall	1688.com	Alibaba Cloud	Weibo	Xiami
Juhuasuan		Cainiao Logistics	AutoNavi	Alibaba Pictures
AliExpress			Laiwang	Youku Tudou

Note: Some of Alibaba's businesses and acquired companies are not displayed in the image.

Source: Created by the case authors based on information from Alibaba's annual report for fiscal year 2015.

Exhibit 4: Revenue Source of Alibaba E-Commerce Platform

Platform	Region	Revenue items	Revenue model
Retail Platform	China (Taobao, Tmall, Juhuasuan)	P4P marketing	Sellers' bidding charge for specific spots on Taobao's page is subject to cost per click (CPC)
		Display marketing	Advertising fees are charged according to fixed prices or cost per mile (CPM)
		Value-added service fee	Provide storefront software to upgrade, decorate, and manage sellers' online storefronts
		Commissions	Taobao and Tmall's sellers pay 0.3% to 5% of GMV for transactions settled through Alipay
		Juhuasuan advertising spot	Sellers on Juhuasuan pay a placement fee for promotional slots for a specified period
	International (AliExpress)	Commissions	Pay 5% of GMV for transactions settled through Alipay
		Advertising	Third-party alliance marketing fee
Wholesale Platform	China (1688.com)	China Trust Pass membership fee	Provide basic data analytics applications and upgraded storefront management tools
		Service fee	Provide premium data analytics and marketing services
	International (Alibaba.com)	Gold Supplier membership fee	Provide a premium storefront with product listings on the marketplace
		Advertising	P4P advertising fee
		Value-added service fee	Provide export- or import-related services, including customs clearance and tax refunds

Source: Collected by the case authors based on The Founder Securities Research Institute's research report and Alibaba's annual report for fiscal year 2015.

Endnotes:

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